

Annual Report of the Board of Directors on the Affairs of the Company

GENERAL

The Board of Directors of Haycarb PLC ("the Company") has pleasure in presenting the Annual Report together with the Audited Financial Statements of the Company and of the Group for the year ended 31st March 2025.

The details set out herein provide the pertinent information required by the Companies Act No.07 of 2007 ("the Companies Act"), the Listing Rules of the Colombo Stock Exchange ("CSE"), the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka and are guided by recommended best accounting practices.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW OF THE YEAR

The principal activities of the Group and its management team are shown on page 374 to 377 respectively of this Report. The Joint Statement from the Chairman and the Managing Director describe the Group's affairs and mention important events of the year. The results for the year are set out in the Consolidated Statement of Profit or Loss page 274.

The Directors to the best of their knowledge and belief confirm that the Group has not engaged in any activities that contravene laws and regulations.

The Financial Statements were reviewed and approved by the Board of Directors on 15th May 2025.

FINANCIAL STATEMENTS

The Financial Statements of the Company and the Group are given on page 274 to 356.

AUDITOR'S REPORT

Auditor's Report on the Financial Statements is given on page 271 to 273.

ACCOUNTING POLICIES

The accounting policies adopted by the Company and its subsidiaries

in the preparation of the Financial Statements are given on page 282 to 303. There were no changes in the accounting policies adopted.

DIRECTORS' INTERESTS IN TRANSACTIONS

The Directors of the Company have made the general disclosures provided for in Section 192(2) of the Companies Act No.07 of 2007. Note 33 to the Financial Statements dealing with related party disclosures includes details of their interests in transactions.

DIRECTORS' INTERESTS IN SHARES

Directors of the Company who have relevant interests in the shares of the Company have disclosed their shareholding and any acquisitions/disposals to their Boards, in compliance with Section 200 of the Companies Act.

INTERESTS REGISTER

The Company, in compliance with the Companies Act No.7 of 2007, maintains an Interests Register. Particulars of entries in the Interests Register are detailed below.

Hayleys PLC holds 201,251,030 shares (67.73%) in Haycarb PLC. Mr. Mohan Pandithage, Mr. Sarath Ganegoda, Mr. Rajitha Kariyawasan, Mr. Yohan Perera and Mr. Timothy Speldewinde are Directors of Hayleys PLC.

200,000 shares were purchased by Mr. Rajitha Kariyawasan, Managing Director (Executive Director) jointly with Mrs. K. H. S. Kariyawasan of Haycarb PLC during the year.

DIRECTORS' SHAREHOLDINGS

Details relating to shareholdings of Directors are given below.

Name of the Director	As at 31/03/2025	As at 31/03/2024
Mr. Mohan Pandithage (Chairman)	23,790	23,790
Mr. Rajitha Kariyawasan* (Managing Director)	3,179,671	2,979,671
Mr. Brahman Balaratnarajah (Deputy Managing Director)	30,040	30,040
Mr. Sarath Ganegoda	73,150	73,150
Mr. Arjun Senaratna	-	-
Mrs. Jeevani Abeyratne	-	-
Mr. M.S.P. Udaya Kumara	4,620	4,620
Mr. Ali Asgar Munaver Caderbhoy	-	-
Mrs. Shamalie Gunawardana	-	-
Ms. Brindhiini Perera	-	-
Mrs. Anomi Wanigasekera	-	-
Mr. Nanda Fernando	-	-
Mr. Yohan Perera (appointed w.e.f. 01st April 2024)	2,500	2,500
Mr. Timothy Speldewinde (appointed w.e.f. 22nd November 2024)	-	-
Mr. Hisham Jamaldeen (resigned w.e.f. 14th November 2024)	-	-
Mr. Sujeewa Rajapakse (resigned w.e.f. 01st April 2024)	-	-
Mr. James Naylor (resigned w.e.f. 31st January 2025)	-	-

* Jointly with Mrs. K.H.S. Kariyawasan

DIRECTORS' REMUNERATION

Executive Directors' Remuneration is determined within an established framework. The total remuneration of Executive Directors for the year ended 31st March 2025 is Rs. 376,630,000 (2023/2024 - Rs. 340,184,000), which includes the value of perquisites granted to them as part of their term of service. The total remuneration of Non-Executive Directors for the year ended 31st March 2025 is Rs. 11,200,000 (2023/2024 - Rs. 10,800,000), determined according to scales of payment decided upon by the Board. The Board is satisfied that the payment of this remuneration is fair to the Company.

DIRECTORS' INDEMNITY AND INSURANCE

The ultimate parent of the Company, Hayleys PLC has obtained a Directors' and Officers' Liability insurance from a reputed insurance company in Sri Lanka providing worldwide cover to indemnify all past, present and future Directors and Officers of the Group.

SUBSIDIARIES

The Shareholders of the following Subsidiaries, being private companies registered under Companies Act, have unanimously agreed to dispense with the requirement to maintain an Interests Register.

- Recogen (Private) Limited
- Puritas (Private) Limited
- Ultracarb (Private) Limited

DONATIONS

GRI 415-1

The donations made during this year by the Company and the Group amounted to Rs. 15,805,000 and Rs. 20,751,000 respectively

(2023/24 - Rs 21,624,000/- and Rs 34,078,000/-)

The Donations made by the Company and the Group are disclosed in Note 9.1 on page 306.

No donations were made for political purposes.

DIRECTORATE

GRI 2-11

The names of the Directors who served during the year are given below and their brief profiles appear on page 28 to 32 of this report.

Executive Directors

Mr. Mohan Pandithage (Chairman)

Mr. Rajitha Kariyawasan (Managing Director)

Mr. Brahman Balaratnarajah (Deputy Managing Director)

Mrs. Jeevani Abeyratne

Mr. M.S.P. Udaya Kumara

Mr. Ali Asgar Munaver Caderbhoy

Mr. James Naylor (resigned w.e.f. 31st January 2025)

Non-Executive Directors

Mr. Sarath Ganegoda

Mr. Arjun Senaratna

Ms. Brindhiini Perera

Independent Non-Executive Directors

Mrs. Shamalie Gunawardana

Mrs. Anomi Wanigasekera

Mr. Nanda Fernando

Mr. Yohan Perera (appointed on 01st April 2024)

Mr. Timothy Speldewinde (appointed on 22nd November 2024)

Mr. Sujeewa Rajapakse (resigned on 01st April 2024)

Mr. Hisham Jamaldeen (resigned on 14th November 2024)

With a view to improving the collective effectiveness and performance of the Board, Board and Subcommittees evaluations were carried out during the year, including an assessment of the systems and processes which are in place.

None of the Directors or their close family members have any material business relationship with other Directors of the Company.

Mr. Timothy Speldewinde was appointed to the Board with effect from 22nd November 2024, in terms of Article 27(2) of the Articles of Association of the Company, Shareholders will be requested to re-elect them at the Annual General Meeting.

In terms of Article No. 29(1) of the Articles of Association of the Company, Mr. M.S.P. Udaya Kumara, Mr. Brahman. Balaratnarajah, Mrs. Shamalie Gunawardana and Mr. Sarath Ganegoda retire by rotation and being eligible to offer themselves for re-election.

Notice has been given of the intention to propose ordinary resolutions in terms of Section 211 of the Companies Act for the re-appointment of Mr. Mohan Pandithage and Mr. Arjun Senaratna and who are over seventy years of age, resolving that the age limit of seventy years stipulated in Section 210 of the Companies Act shall not apply to the aforesaid directors.

The Directors of the Subsidiaries are given on page 374.

In accordance with Rule 9.8.5 of the Listing Rules of CSE, Independent Directors have submitted a signed and dated declaration as per the